

Manorama Industries Ltd

Concall-Tracker report · Screener ticker MANORAMA (NSE: MANORAMA, BSE: 541974) · 7 earnings-call transcripts read (Q1 FY25 → Q1 FY27) · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Manorama collects wild-growing tree seeds — **sal, mango, shea and kokum** — and processes them into **speciality fats and butters**, chiefly **cocoa butter equivalents** (the ingredient chocolate makers use in place of expensive cocoa butter) and butters for cosmetics. In plain terms: it turns forest-collected nuts into a high-value chocolate and skincare ingredient, and sells most of it to global food and cosmetics companies.

Figure	Value	Plain-English read
Market capitalisation	₹11,973 cr (price ₹1,891)	What the whole company is worth. The share has ranged ₹1,061–2,043 over the past year and sits near the top.
Price-to-earnings	45.3×	The market pays about 45 years of current profit — a rich, high-expectation price. This is the main thing that could go wrong even if the business does not.
Q1 FY27 revenue (Jun'26 qtr)	₹404 cr, up 39.5% YoY	The first time the company has crossed ₹400 cr in a single quarter . Driven, management said, by a richer mix of value-added products and better use of the expanded plant.
Q1 FY27 operating profit	₹106 cr, margin 26.3%	Operating profit before interest, tax and depreciation, up 42.2% year-on-year with the margin still <i>expanding</i> (up 49 basis points) — growth is not costing profitability.
Q1 FY27 net profit	₹79 cr, up 67.6% YoY	Net margin 19.5%, up 326 basis points. Profit is growing far faster than sales, which is the signature of operating leverage on a newly filled plant.
FY26 (full year)	₹1,358 cr revenue, ₹233 cr profit	Revenue up 76.1% ; operating margin 27.1%; net margin 17.2%. The company crossed ₹1,000 cr of annual sales for the first time.
Four-year revenue path	₹351 → 457 → 771 → 1,358 cr	FY23 to FY26 — nearly a fourfold increase in three years, accelerating rather than fading.
Margin transformation	16% (FY24) → 25% (FY25) → 27% (FY26)	Operating margin has nearly doubled in two years as a new plant filled up and the product mix moved to higher-value fats.
Return on capital	ROCE 35.4%; ROE 40.3%	For every ₹100 of capital the business earns about ₹35 a year before tax. Very high, and earned in a genuinely competitive export market.
Cash generation	FY26 operating cash flow ₹259 cr	Against ₹233 cr of net profit — the profits are converting into actual cash, which is not true of several peers in this coverage.
Debt	Net debt-to-equity 0.38×	Moderate borrowing supporting a ₹460 cr expansion programme. Comfortable, not stretched.

2. Concall coverage

Seven consecutive quarterly earnings-call transcripts were read, oldest to newest, covering two full years to the latest call. Screener carries no transcripts for the 2021–2024 calls, which fall largely outside the window graded here.

Quarter	Call date	Revenue / operating margin	Read?
Q1 FY25 (Jun 2024)	31 Jul 2024	₹133 cr · 20.1%	Yes
Q3 FY25 (Dec 2024)	Jan 2025	₹209 cr · 26%	Yes
Q4 & FY25 (Mar 2025)	28 Apr 2025	FY25 ₹771 cr · 24.8%	Yes
Q2 FY26 (Sep 2025)	Oct 2025	₹323 cr · 27%	Yes
Q3 FY26 (Dec 2025)	Jan 2026	₹363 cr · 27%	Yes
Q4 & FY26 (Mar 2026)	12 May 2026	FY26 ₹1,358 cr · 27.1%	Yes
Q1 FY27 (Jun 2026)	14 Aug 2026	₹404 cr · 26.3%	Yes — latest

Span: seven quarters over two years. Transcripts are filed promptly with both exchanges and posted on the company website, and the same team presents each time — Ashish Saraf (Chairman & MD), Ashok Jain (Director & CFO), plus a dedicated investor-relations officer. Notably, this is a company that **gives explicit annual revenue guidance**, which makes the consistency read below unusually easy to grade.

2b. Latest concall highlights — Q1 FY27 (call held 14 Aug 2026) ★

- **A milestone quarter:** revenue **₹404 cr, up 39.5% year-on-year** — the first time quarterly revenue has crossed ₹400 cr. EBITDA **₹106 cr, up 42.2%**, with margin *expanding* 49 basis points to 26.3%; profit after tax **₹79 cr, up 67.6%**, with net margin up 326 basis points to 19.5%.
- **The mix is shifting toward India:** export-to-domestic revenue is now **60:40**, against roughly 73% exports in FY25. Management framed this as domestic demand growing strongly alongside a stable global customer base — a genuine reduction in single-market dependence rather than export weakness, since exports grew in absolute terms too. Cocoa butter equivalents and stearin together contribute **71.4%** of the total.
- **Capacity is being added in stages, with dates:** a debottlenecking programme adding **7,500 tonnes** has been partly commissioned, with the balance due around **Q3 FY27**; a further ~4,500 tonnes is expected from the same programme. The bigger step — **solvent fractionation plant 3 plus a new refinery** — is targeted for commissioning around **Q3 FY28**, with roughly 24 acres already bought and regulatory approvals awaited.
- **Going upstream in West Africa:** the company is expanding its raw-material sourcing footprint in West Africa (Chad and Burkina Faso were both discussed), including a **shea nut and mango nut processing facility** with regulatory approvals in progress. The logic is to capture more of the value chain and secure supply at source rather than buying processed inputs.
- **Pricing is not commodity pricing:** asked about volatility, management explained that products are made to customer-specific recipes and specifications for chocolate, confectionery and cosmetics, so realisations have been **largely stable** even while underlying commodity markets moved. They declined to give per-tonne realisation figures, reasonably, on the grounds that the products are not a single standard item.

2c. Business mix & capacity (quick facts)

Domestic vs export: **~60% exports / ~40% domestic** as of Q1 FY27 — a meaningful shift from FY25, when exports were **73%** of revenue. Plain read: roughly three-fifths of sales still go to global food and cosmetics customers, but the Indian share has risen by more than ten percentage points in two years, which reduces the concentration risk of being an export-only business. The company is a Government of India recognised Star Export House and carries the certifications global buyers require (RSPO, Kosher, Halal, Fairtrade, Organic, FSSC 22000, Sedex SMETA).

Product mix: cocoa butter equivalents and stearin together are 71.4% of contribution, with the balance in other speciality butters and fats for cosmetics. Raw materials are wild-collected tree seeds — sal, mango, shea and kokum. Management describes itself as India's leading exporter of sal and mango seed and says its procurement is around 10% of available supply, which it presents as leaving ample sourcing headroom.

Capacity utilisation — the heart of the story: fractionation capacity went from **15,000 tonnes** in FY21 to **40,000 tonnes** when a 25,000-tonne expansion was commissioned in July 2024. Management then disclosed utilisation precisely: in FY25 the original 15,000-tonne line ran at **~100%** while the new 25,000-tonne line ran at only **40–50%**, for a combined **~62.5%**; they guided FY26 combined utilisation to **75–85%**. During FY26 solvent fractionation plant 2 was uprated by **30%**, and the debottlenecking now under way adds a further 7,500 tonnes (partly done, balance by Q3 FY27). A ~₹460 cr capital programme covers a new cocoa-butter-alternatives facility, an additional 200-tonnes-per-day refinery, raw-material processing, and solvent fractionation plant 3 due around Q3 FY28.

3. Earning Trigger thesis ★

The driver is a textbook capacity-and-mix story that is already most of the way through proving itself. Manorama tripled its fractionation capacity from 15,000 to 40,000 tonnes, filled it, and the profit arithmetic did the rest: **operating margin went from 16% in FY24 to 25% in FY25 to 27% in FY26** as a plant that was 40–50% utilised moved toward full, while revenue nearly quadrupled from ₹351 cr to ₹1,358 cr in three years. Underneath sits a genuinely defensible position — the raw material is wild-collected forest seed that requires an established collection network, the products are made to customer-specific recipes rather than sold as commodities (which is why management can say pricing has been "largely stable" through volatile markets), and the end demand is the global shift toward cocoa butter *equivalents* as cocoa prices have soared, plus ethically sourced cosmetic butters. The next leg is already funded and dated: debottlenecking completing around Q3 FY27, a cocoa-butter-alternatives plant and 200 tonnes-per-day refinery, solvent fractionation plant 3 around Q3 FY28, and upstream processing in West Africa. Q1 FY27 shows it still working — revenue up 39.5% with margin *still* rising.

Trigger	What management said	Evidence so far	Horizon	Strength
Capacity expansion filling up	Capacity 15,000 → 40,000 t (Jul 2024); FY25 combined utilisation ~62.5%, guided to 75–85% in FY26	Delivered. FY26 revenue +76% to ₹1,358 cr with margin rising to 27.1% — exactly what filling a half-empty plant looks like	Done & ongoing	Strong
Next capacity wave	Debottlenecking +7,500 t (balance Q3 FY27); solvent fractionation 3 + refinery ~Q3 FY28; ~₹460 cr capex	Partly commissioned already; land bought, approvals in progress. Dated and funded, but not yet earning	FY27–FY28	Strong
Product mix to higher-value fats	Richer mix of value-added offerings; CBE + stearin now 71.4% of contribution	Margin expanded again in Q1 FY27 even on a much larger base — the mix effect has not exhausted itself	Ongoing	Strong
Recipe-based, non-commodity pricing	Products made to customer specifications; realisations "largely stable" despite market volatility	Corroborated by margins that rose through a period of severe agricultural-commodity swings	Structural	Strong
Upstream integration in West Africa	Shea and mango nut processing facility; sourcing footprint	Regulatory approvals still in progress — no contribution yet, and it introduces political	FY27+	Moderate

	expanded (Chad, Burkina Faso)	and operational risk in fragile states		
Domestic market growth	Export:domestic moved 73:27 to 60:40	Real diversification — the Indian share rose while exports still grew in absolute terms	Ongoing	Moderate
Foreign-exchange volatility (risk)	Disclosed: Q4 FY26 mark-to-market provision ₹17.05 cr on forwards; FY26 total ₹23.3 cr; net forex loss ₹7.58 cr in the quarter	A real earnings drag on a 60%-export business, openly quantified by management rather than buried	Ongoing	Recurring drag
Valuation (risk)	—	45x earnings prices in continued high growth. The business could perform well and the share still disappoint	Now	Key risk

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Q1 FY25 (Jul 2024)	Guidance upgraded to ₹750 cr+ for FY25 on the back of the new 25,000-tonne capacity	FY25 revenue ₹771 cr , up 69% — the raised guidance was met	Delivered
FY24–FY25	Commission a 25,000-tonne fractionation expansion, taking capacity to 40,000 tonnes	Commissioned in July 2024, on schedule, taking total capacity to 40,000 tonnes	Delivered
Q4 FY25 (Apr 2025)	Guidance of ₹1,050 cr for FY26 ; combined capacity utilisation of 75–85%	FY26 revenue ₹1,358 cr — roughly 29% above the guided number, with margin also rising to 27.1%	Delivered (far over)
FY25	Margin improvement from economies of scale as the new plant fills	Operating margin 16% (FY24) → 24.8% (FY25) → 27.1% (FY26), including absorbing a ₹15.4 cr ESOP provision in FY25	Delivered
FY26	Uprate solvent fractionation plant 2; commit ~₹460 cr to the next phase	Plant 2 capacity raised 30%; the capex programme is disclosed item by item with dates	Delivered / on track
Q1 FY27	Debottlenecking balance by Q3 FY27; solvent fractionation 3 and refinery ~Q3 FY28	Partly commissioned; land acquired, approvals pending. Not yet due	Too early
Ongoing	—	Disclosure quality is high: utilisation given plant-by-plant, forex mark-to-market losses quantified precisely, and per-tonne realisation withheld with a stated commercial reason rather than evaded	Candid
Ongoing	—	Profits are converting to cash — FY26 operating cash flow ₹259 cr against ₹233 cr of net profit — while net debt-to-equity stays at 0.38	Verified

Narrative drift: None — and this is one of the cleanest promise-versus-delivery records in this coverage. The story has been identical across seven calls: expand fractionation capacity, fill it, move the mix toward higher-value fats, and integrate upstream into raw-material sourcing. What separates Manorama from most companies of its size is that **it gives explicit annual revenue guidance and has then beaten it twice** — ₹750 cr guided for FY25 against ₹771 cr delivered, and ₹1,050 cr guided for FY26 against ₹1,358 cr delivered, roughly 29% ahead. Giving a number is easy; giving one and exceeding it in consecutive years while margin also expands is not. The disclosure habits reinforce it: management publishes capacity utilisation line by line (the 15,000-tonne plant at ~100%, the new 25,000-tonne plant at 40–50%, combined 62.5%), quantifies its own foreign-exchange losses to the decimal, states an ESOP charge rather than adjusting it away, and declines to give per-tonne realisations with a reasoned commercial explanation instead of a dodge. The honest caveats are about risk, not integrity: the West African upstream expansion introduces exposure to Chad and Burkina Faso, forex remains a recurring drag on a 60%-export business, and at 45 times earnings the market has already priced in a great deal of continued execution.

5. Bottom line — two verdicts

Durable earning trigger? → YES

This is about as demonstrated as a trigger gets. The driver — tripling fractionation capacity and then filling it with a richer product mix — has already converted into results across three years: revenue from ₹351 cr to ₹1,358 cr, operating margin from 16% to 27%, net profit from ₹30 cr to ₹233 cr, and return on capital above 35%. Crucially, it is still working rather than tailing off: Q1 FY27 grew 39.5% and the margin *rose again*, which is what tells you the mix shift has further to run. The underlying position is defensible in ways that are hard to copy quickly — a raw-material base of wild-collected sal, mango and shea seed that needs an established forest collection network, products formulated to individual customer recipes rather than sold as commodities (hence stable realisations through volatile markets), and end demand supported by chocolate makers substituting away from record-priced cocoa butter. The next phase is funded, dated and partly built: debottlenecking completing around Q3 FY27, then a cocoa-butter-alternatives plant, a 200-tonnes-per-day refinery and solvent fractionation plant 3 around Q3 FY28, with upstream processing in West Africa behind that. And unlike several companies in this coverage, the profits are real cash — ₹259 cr of operating cash flow against ₹233 cr of net profit. The risks are genuine but peripheral: foreign-exchange losses recur on a 60%-export book, the West African sourcing push adds political exposure, and at 45 times earnings the share price already assumes a lot of this.

Management consistent? → YES

Manorama does the thing most Indian small and mid-caps avoid: it puts a specific annual revenue number on the record and is then measured against it. In July 2024 it raised FY25 guidance to ₹750 cr-plus and delivered ₹771 cr. In April 2025 it guided FY26 to ₹1,050 cr and delivered ₹1,358 cr — about 29% ahead — while *also* expanding margin. The 25,000-tonne expansion was commissioned in July 2024 as promised, plant 2 was uprated by 30% as described, and the FY26 utilisation guidance of 75–85% is corroborated by the revenue that followed. Two consecutive years of setting a target and beating it, with the operational milestones landing on schedule, is a strong record by any standard. The disclosure supports the same conclusion: utilisation is given plant by plant rather than as a vague average, the ₹23.3 cr of full-year foreign-exchange mark-to-market losses and the ₹15.4 cr ESOP charge are stated plainly rather than adjusted out, and when asked for per-tonne realisations management gave a clear commercial reason for withholding them instead of deflecting. Nothing in seven calls has been quietly dropped or restated. The only fair caution is that this is a two-year window of transcripts, covering a period when everything went right; the real test of consistency is a year when it does not.

Prepared from seven Manorama Industries Ltd earnings-call transcripts, Q1 FY25 (31 Jul 2024) through Q1 FY27 (14 Aug 2026), sourced from Screener.in; all figures as disclosed by management on those calls or from Screener.in financial statements. Screener holds no transcripts for the 2021–2024 calls, which fall largely outside the window graded here. Small differences between management-reported and Screener figures for Q1 FY27 reflect standalone-versus-consolidated and other-income treatment. **This is not investment advice. Do your own due diligence.**